

Place a stop below the bottom of the pattern and it would trigger just 4% of the time on average.

Before you select one of the locations (or any other location, for that matter) consider the size of the loss. Change the potential loss into a percentage of the current price and see if you can tolerate such a loss. Adjust your stop location accordingly. You may consider using a volatility stop (see the Glossary) so you don't get stopped out on normal price movement.

Also note that after price reaches the ultimate high or low, it'll reverse. I stopped checking if it then returned to the chart pattern. So if you intend to hold a position longer, such as in a buy-and-hold situation, then the stop-out rate might be higher than that shown in the table.

[Table 51.8](#) shows the performance over three decades.

Performance over time. The 2010s showed the worst performance for upward breakouts and the best for downward ones. Upward breakouts showed the best performance in the 2000s and the worst performance after downward breakouts. I think all of this makes intuitive sense. Please note that bear markets only happened in the 2000s and are not included in the results.

Failures over time. The bottom portion of the table is more confusing. The 2010s showed a big spike in failures for rectangles with upward breakouts. Downward breakouts did poorly in the 2000s.

[Table 51.9](#) shows busted pattern performance.